Meta Platforms (META): Buy

Analyst: Justin Wen

Meta is compounding ad revenue at 28% with genuine pricing power while funding the largest AI infrastructure build in its history. Our revised DCF, with capex elevated through 2030 and normalizing after, supports a $927 base case, 26% above the $736.42 spot. We rate it Buy: the market prices only 7.1% annual revenue growth, well below our 12.5% base case.

Buy	$926.55	$736.42	+26%
RATING	BASE TARGET (BLENDED $923)	SPOT (OCT 14, 2026)	UPSIDE TO BASE

$60.8B (+28%)	$784M	$130-145B	$6.6B	9.13%	Oct 21
Q2 2026 REVENUE	Q2 FREE CASH FLOW	2026 CAPEX GUIDE	NET CASH	LIVE WACC	Q3 EARNINGS (AMC)

Executive summary

We upgrade Meta Platforms to a **Buy** with a $926.55 base-case target ($923.04 blended). Q2 2026 showed the core engine at full power: revenue of $60.8 billion (+28% YoY, above the $60.17B consensus), Family of Apps revenue of $60.4 billion, ad impressions up 14% with the average price per ad up 12%, and 3.60 billion daily active people. Other revenue crossed $1 billion in a quarter for the first time (+73% YoY), driven by WhatsApp paid messaging and subscriptions. Muse AI launched September 8, 2026, extending the personal superintelligence push.

The other side of the ledger is the heaviest investment cycle in the company's history. Total costs and expenses rose 55% YoY to $42.0 billion, including $2.4 billion of legal charges and roughly $1.2 billion of severance, compressing the operating margin to 31% from 43% a year ago. Capex hit $31.1 billion in the quarter, collapsing free cash flow to $784 million (-91% YoY). The narrowed 2026 capex guide of $130-145 billion is roughly 54% of our estimated 2026 revenue base: a peak-cycle intensity, not a steady state.

> **What changed:** our prior note held Meta at Hold on the view that peak-cycle capex compression, which management has not guided past 2026, made the $495 target the honest read. The revised model takes a longer view of the build's economics: capex stays elevated through 2030 (fading from 54.4% to 44% of revenue) and then normalizes to about 12% by 2032, while the D&A waterfall from the AI infrastructure itself, data-center depreciation running at 35% of revenue by 2030, converts the spend into earnings power. Mature FCF margins reach 35%. On that path the model supports Bear $625.20 / Base $926.55 / Bull $1,213.84. The valuation is still dominated by the capex path, but the model's updated view is that Meta's cash generation normalizes after the build, and the market is underpricing both the growth (7.1% implied vs 12.5% base) and the cash conversion.

Base-case framework

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	8%	12.5%	16%
2030 revenue ($B)	344	405	458
2030 EBIT margin (actuals-anchored)	35%	41%	44%
Capex, 2026 to 2030 (% of revenue)	54.4% to 44%	54.4% to 44%	54.4% to 44%
Terminal growth	2.5%	2.5%	2.5%
Implied target per share	**$625.20**	**$926.55**	**$1,213.84**

WACC 9.13% live (spot 10Y 5.24% + 1.19 beta x 3.41% implied ERP; no company risk premium: beta above 1, net-cash balance sheet; capex cycle captured in cash flows). Net cash $6.6B ($83.7B debt vs $90.3B cash and securities); 2,566M diluted shares (Q2 2026 10-Q). FY2026 revenue base $252.7B (Q1-Q2 actuals, Q3 guide midpoint, Q4 estimated from Q3-implied YoY on Q4 2025 actual). EBIT margins anchored on 6M 2026 actuals (35.6% reported; Q2 ~36.8% ex one-time charges); not calibrated to any target and not consensus.

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Valuation: the cash-generation reassessment

We now model capex fading from the 2026 guide midpoint ($137.5B, 54.4% of revenue) to 44% of revenue by 2030, then normalizing to roughly 12% by 2032 once the AI build matures. The offset is the depreciation shield: D&A from the data-center build runs at 35% of revenue by 2030, which turns today's capex into tomorrow's earnings power. Modeled FCF margins run from -9.5% in 2026 to 25.5% in 2030, reaching a 35% mature level. On that path the model supports Bear $625.20 / Base $926.55 / Bull $1,213.84, blended $923.04 (+25% vs spot).

The valuation is still highly sensitive to a normalization path that management has not guided beyond 2026. Slower normalization than we assume is the downside risk; a sharper pivot is the upside risk.

> **The mitigating factor is that this capex is discretionary.** Meta has turned the valve off before: after the 2022 metaverse spending backlash, management pivoted to the 2023 year of efficiency, cutting investment and refocusing on returns, and the market re-rated the stock. If investor pressure mounts again, Meta can throttle the AI buildout at any point and let the installed revenue base convert to free cash flow. The current capex run rate therefore artificially compresses reported FCF: it does not reflect terminal free cash flow per share.

Reverse DCF: at $736.42 the market prices modest growth

At $736.42, META carries a $1.89T market cap and a $1.88T enterprise value. Running the model's own five-year framework in reverse at a flat 35% FCF margin (the mature margin; modeled 5-yr path runs -9.5% to 25.5%), the market-implied five-year revenue CAGR is **7.1%**, well below our 12.5% base case.

SCENARIO	5-YR REVENUE CAGR	TARGET
Bull case	16%	**$1,213.84**
Base case	12.5%	**$926.55**
Bear case	8%	**$625.20**
Market-implied	7.1%	$736.42 (spot)

The market is pricing below even our bear case on growth: it doubts the revenue compounding, not just the capex. That is the debate Q3 earnings on October 21 must inform.

Bull case

AI monetization compounds. The $130B+ AI build converts to revenue: Advantage+ keeps lifting ad pricing, Meta One subscriptions scale, WhatsApp paid messaging and Threads (500M+ MAUs) become material profit pools, and capex intensity normalizes after 2027 as the infrastructure build matures. Muse, the personal AI agent launched September 8, is the distribution wildcard: with 3.6 billion daily active people across its apps, Meta can put an assistant in front of more humans than any competitor, which in our view makes adoption hurdles structurally easier to clear. Revenue compounds at 16% to $458B in 2030 with EBIT margins reaching 44%. On normalized capex this path supports $1,213.84, 65% above spot.

Bear case

Cycle without payoff. AI capex fails to earn its return, the ad market softens, and regulatory costs compound (the $2.4B of Q2 legal charges is a warning, not an anomaly). Revenue grows at 8% to $344B in 2030 with EBIT margins stuck near 35%. The deeper risk is the compute treadmill: $130-145B is one year of spend, and staying competitive in AI demands repeating it. If rivals (OpenAI, Google, Anthropic, xAI) race pricing to the bottom and AI services commoditize, each successive round of compute investment earns a lower return, potentially stranding the build. If capex intensity stays elevated without commensurate revenue, free cash flow stays depressed for years and the multiple compresses. Worth $625.20, 15% below spot.

Verdict

> **We rate META Buy with a $926.55 base target ($923.04 blended).** We like the business: 28% revenue growth with both volume and pricing power, a $90B cash fortress funding the build, and emerging monetization vectors. The $926.55 target sits 26% above spot, outside our 10% Hold band, and the risk/reward is asymmetric to the upside: even the bear case ($625.20) is only 15% below spot, while the bull case ($1,213.84) is 65% above. The revised model sees the capex cycle normalizing after 2030 with 35% mature FCF margins, and the market prices just 7.1% revenue growth, below our 12.5% base. A sharper capex pivot than our fade would close the gap faster, and 2027 capex commentary at the Q3 print is the key swing factor.

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Key themes

THEME	TREND	OUR TAKE
AI-driven ad pricing power	ACCELERATING	Q2: impressions +14% and average price per ad +12% simultaneously. Both volume and price rising is the cleanest signal of platform pricing power and better ROAS from AI targeting (Advantage+).
The capex supercycle	STABLE	2026 guide $130-145B (narrowed up from $115-135B) is peak intensity at ~54% of revenue. The build is the moat and the margin pressure at once. Normalization timing after 2027 is the single most important unknown.
WhatsApp / Threads monetization	ACCELERATING	Other revenue crossed $1B in a quarter (+73% YoY) on WhatsApp paid messaging and subscriptions. Threads passed 500M MAUs. Early but inflecting vectors outside the core ad auction.
Muse AI / superintelligence	ACCELERATING	Muse AI launched September 8, 2026 (free tier; $20/$100 subscriptions; 2.5M downloads in 13 days). In our view the 3.6B-DAP network effect is the real edge: distribution and penetration hurdles for Muse are structurally lower than for any competitor.
Regulatory and legal overhang	STABLE	$2.4B of Q2 legal charges plus ~$1.2B severance show the cost line is not just AI. Ongoing scrutiny is a permanent tax on the multiple, not a one-time item.
Capital returns	STABLE	Shares outstanding down 1.08% YoY to 2.55B on continued buybacks. The $90.3B cash pile funds both the build and the bid.

Other KPIs

- **Daily active people:** 3.60 billion in June 2026 (+3% YoY); roughly 45% of the global population touches a Meta app daily.
- **6M 2026:** revenue $117.1B; income from operations $41.6B (35.6% margin); diluted shares 2,566M.
- **Q2 profitability:** operating income $18.8B (31% margin vs 43% a year ago); net income $15.8B; diluted EPS $6.18 missed the $7.22 consensus on legal, severance, and tax.
- **Cash generation:** 6M D&A $12.4B (10.5% of revenue, growing on data-center depreciation); 6M capex $49.1B; Q2 FCF $784M (-91% YoY).
- **Balance sheet:** $90.3B cash and marketable securities vs $83.7B long-term debt (no current portion); net cash $6.6B.
- **Reality Labs:** Q4 2025 operating loss was $6.0B; management called 2026 the peak year with losses expected near 2025 levels before gradual reduction.
- **The market's read:** Wells Fargo raised its target to $1,000 from $796 (Overweight, Oct 6); consensus is Moderate Buy with an average target of $787.86 (Oct 2). 52-week high $779.82.

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Guidance

- **Q3 2026 revenue:** $61-64B (assumes roughly 1% FX headwind to YoY growth at current rates). Our 2026 base embeds the $62.5B midpoint.
- **2026 capex:** $130-145B, narrowed from $115-135B at the Q4 2025 print. The entire 2026 story in one line.
- **Q4 2026 revenue (our estimate):** $73.0B, applying the Q3-implied YoY growth (+22%) to the Q4 2025 actual of $59.9B. This is a seasonal extrapolation, not company guidance.
- **Implied FY2026:** $252.7B revenue (Q1 $56.3B + Q2 $60.8B actuals, Q3 guide midpoint, Q4 estimate), roughly 26% YoY on FY2025's $201.0B.

Imminent catalyst: Q3 2026 earnings, Wednesday October 21 (after close)

Announced October 12, a week out. The print must answer two questions: (1) is the 28% revenue growth with pricing power intact into Q3, and (2) does management give any signal on the 2027 capex trajectory. The market prices a 7.1% five-year revenue CAGR at 35% mature FCF margins, below even our bear case on growth; any guide language on capex normalization moves the valuation more than the revenue beat or miss. Our post-earnings refresh will rebuild the DCF off results, commentary, and guidance per the standing rule.

Our read into the print: the fundamental setup is strong (September's 27% run, Wells Fargo to $1,000, WhatsApp inflecting), but the valuation debate is entirely about the capex path. We expect volatility around any 2027 capex commentary in either direction. With a $926.55 base target 26% above spot, the risk into the print is skewed upward; any 2027 capex commentary moves the valuation more than the revenue beat or miss.

Risks

- **Capex without return:** the $130-145B build is predicated on AI monetization that is still early; if returns disappoint, years of FCF are impaired.
- **Regulatory:** legal charges are recurring in practice; adverse rulings could restrict data use or ad targeting.
- **Ad cyclicality:** 98% of revenue is advertising; a macro downturn hits both volume and pricing.
- **Competition:** TikTok in short-form video, Amazon in retail media, Alphabet in the broader duopoly.
- **AI pricing race:** OpenAI, Google, Anthropic, and xAI are all building assistants and models. If AI services commoditize and pricing collapses, the continued compute investment the race demands cannot earn a return.
- **Rates:** at a 9.13% WACC with the 10Y at 5.24%, further yield rises compress the terminal value mechanically.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/17S4AgSLzM8--qp2LNYb2QO3KpZB_9D-ronTZJa26J9Y/edit?usp=drivesdk

Sources: Meta Q2 2026 10-Q (filed July 29, 2026), Q4 2025 and Q3 2025 earnings releases, company guidance.

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